

HOUSE BILL No. 1079

DIGEST OF INTRODUCED BILL

Citations Affected: IC 7.1-1-3-9.3; IC 7.1-3; IC 7.1-4; IC 7.1-5; IC 24-4-22-3.5; IC 35-46-1-23; IC 35-52-7.

Synopsis: Alcoholic beverages and THC hemp extract. Establishes a direct beer seller's permit to allow a brewer to ship beer directly to a consumer. Allows liquor retailers and catering halls to purchase alcoholic beverages from a package liquor store. Allows a beer wholesaler to make credit sales. Allows a bar or restaurant (retailer) to deliver mixed drinks for carryout or delivery to a consumer's residence or office. Allows a wine wholesaler to offer a channel price to a retailer if certain conditions are met. Allows the alcohol and tobacco commission (commission) to deny an application for issuing, renewing, or transferring an alcoholic beverage permit (permit) for nonpayment of property taxes that the applicant is statutorily or contractually obligated to pay. Allows a retailer to operate a points based rewards program. Allows the commission to issue beer and wine dealer permits that are not subject to the quota. Allows a retailer, dealer, or craft manufacturer to deliver alcoholic beverages to a consumer's residence or office using a third party delivery service. Creates a third party delivery service permit and delivery driver permit. Imposes graduated civil penalties against a third party delivery service permittee for deliveries made by the permittee's delivery drivers that violate law. Prohibits the distribution or sale of low THC hemp extract to a person who is less than 21 years of age.

Effective: July 1, 2026.

Manning

January 5, 2026, read first time and referred to Committee on Public Policy.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1079

A BILL FOR AN ACT to amend the Indiana Code concerning alcohol and tobacco.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 7.1-1-3-9.3 IS ADDED TO THE INDIANA CODE
2 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
3 1, 2026]: **Sec. 9.3. The term "channel price" means a sale of wine**
4 **to a permittee, exclusively for on-premises consumption, at a**
5 **different price than what the same wine, in the same:**
6 (1) size;
7 (2) container; and
8 (3) quantity;
9 **is being sold to other permittees.**
10 SECTION 2. IC 7.1-3-2-7, AS AMENDED BY P.L.186-2025,
11 SECTION 276, IS AMENDED TO READ AS FOLLOWS
12 [EFFECTIVE JULY 1, 2026]: Sec. 7. The holder of a brewer's permit
13 or an out-of-state brewer holding either a primary source of supply
14 permit or an out-of-state brewer's permit may do the following:
15 (1) Manufacture beer.
16 (2) Place beer in containers or bottles.
17 (3) Transport beer.



(4) Sell and deliver beer to a person holding a beer wholesaler's permit issued under IC 7.1-3-3.

(5) If the brewer manufactures, at all of the brewer's breweries, an aggregate of not more than ninety thousand (90,000) barrels of beer in a calendar year for sale or distribution within Indiana, the permit holder may do the following:

(A) Sell and deliver a total of not more than thirty thousand (30,000) barrels of beer in a calendar year to **the following:**

(i) A person holding a retailer or a dealer permit under this title.

(ii) A consumer who purchases beer for direct shipment under IC 7.1-3-26, if the permit holder holds a direct beer seller's permit.

The total number of barrels of beer that the permit holder may sell and deliver under this clause in a calendar year may not exceed thirty thousand (30,000) barrels of beer.

(B) Be the proprietor of a restaurant that is not subject to the minimum gross food sales or the minimum projected food sales set forth in 905 IAC 1-41-2.

(C) Hold a beer retailer's permit, a wine retailer's permit, or a liquor retailer's permit for a restaurant established under clause (B).

(D) Transfer beer directly from the brewery to the restaurant by means of:

(i) bulk containers; or

(ii) a continuous flow system.

(E) Install a window between the brewery and an adjacent restaurant that allows the public and the permittee to view both premises.

(F) Install a doorway or other opening between the brewery and an adjacent restaurant that provides the public and the permittee with access to both premises.

(G) Sell the brewery's beer by the glass for consumption on the premises. Brewers permitted to sell beer by the glass under this clause must make food available for consumption on the premises. A brewer may comply with the requirements of this clause by doing any of the following:

(i) Allowing a vehicle of transportation that is a food establishment (as defined in IC 16-18-2-137) to serve food near the brewer's licensed premises.

(ii) Placing menus in the brewer's premises of restaurants that will deliver food to the brewery.



(iii) Providing food prepared at the brewery.

(H) Sell and deliver beer to a consumer at the licensed premises of the brewer or at the residence **or office** of the consumer. Notwithstanding IC 7.1-1-3-20, the licensed premises may include the brewery parking lot or an area adjacent to the brewery that may only be used for the purpose of conveying alcoholic beverages and other nonalcoholic items to a customer subject to section 10 of this chapter, and may not be used for point of sale purposes or any other purpose. **Beer may be delivered to a consumer's residence or office by a third party delivery service under IC 7.1-3-34.** The delivery to a consumer may be made only in a quantity at any one (1) time of not more than one-half (1/2) barrel, but the beer may be contained in bottles or other permissible containers.

(I) Sell the brewery's beer as authorized by this section for carryout on Sunday in a quantity at any one (1) time of not more than five hundred seventy-six (576) ounces. A brewer's beer may be sold under this clause at any address for which the brewer holds a brewer's permit issued under this chapter if the address is located within the same city boundaries in which the beer was manufactured.

(J) With the approval of the commission, participate:

(i) individually; or

(ii) with other permit holders under this chapter, holders of artisan distiller's permits, holders of farm winery permits, or any combination of holders described in this item;

in a trade show or an exposition at which products of each permit holder participant are displayed, promoted, and sold. All of the permit holders may occupy the same tent, structure, or building. The commission may not grant to a holder of a permit under this chapter approval under this clause to participate in a trade show or exposition for more than seventy-five (75) days in a calendar year.

(K) Store or condition beer in a secure building that is:

(i) separate from the brewery; and

(ii) owned or leased by the permit holder.

(L) Transfer beer from a building described in clause (K) back to the brewery.

(M) Sell or transfer beer directly to a beer wholesaler from a building described in clause (K), but may not sell or transfer beer from the building to any other permittee or a consumer. The brewer shall maintain an adequate written record of the



beer transferred:

- (i) between the brewery and the separate building; and
- (ii) from the separate building to the wholesaler.

(N) Sell the brewery's beer to the holder of a supplemental caterer's permit issued under IC 7.1-3-9.5 for on-premises consumption only at an event that is held outdoors on property that is contiguous to the brewery as approved by the commission.

(O) Receive liquor from the holder of a distiller's permit issued under IC 7.1-3-7 or the holder of an artisan distiller's permit under IC 7.1-3-27 that is located in the same county as the brewery for the purpose of carbonating and canning the liquor. Upon the completion of canning of the liquor, the product must be returned to the original production facility within forty-eight (48) hours. The activity under this clause is not an interest under IC 7.1-5-9.

(P) Receive beer from another permit holder under this subdivision for the purpose of bottling and packaging the beer. Upon completion of bottling and packaging the beer, the product must be returned to the original permit holder who manufactured the beer. The number of barrels of beer that a permit holder receives, bottles, and packages under this clause may not exceed the number of barrels of beer that the permit holder produced from raw materials at the licensed premises of the permit holder in the same calendar year. The activity under this clause is not an interest under IC 7.1-5-9.

(Q) Sell or transfer beer directly to a food manufacturer located in Indiana that is registered with the federal Food and Drug Administration for the purpose of adding or integrating the beer into a product or recipe.

(R) Manufacture beer for another permit holder under this subdivision. Upon completion of manufacturing the beer, the product must be transported to the permit holder for which the beer was manufactured. To qualify under this clause:

- (i) the permit holder for which the beer is manufactured must have manufactured not less than forty (40) barrels of beer produced from raw materials at the licensed premises of the permit holder in the previous calendar year; and
- (ii) the number of barrels of beer that a permit holder manufactures under this clause may not exceed the number of barrels of beer that the permit holder produced from raw materials at the licensed premises of the permit holder in the



- 1 same calendar year.
- 2 All records required by the federal Alcohol and Tobacco Tax
- 3 and Trade Bureau regarding the number of barrels of beer
- 4 produced from raw materials at the licensed premises of a
- 5 permit holder must be made available to the commission upon
- 6 request. The activity under this clause is not an interest under
- 7 IC 7.1-5-9.
- 8 (S) Sell, donate, transport, and deliver beer to a qualified
- 9 organization for:
- 10 (i) an allowable event under IC 7.1-3-6.1;
- 11 (ii) a charity auction under IC 7.1-3-6.2; or
- 12 (iii) an event under IC 7.1-3-6.3.
- 13 (T) With the approval of the commission under clause (J),
- 14 participate in a farmers' market at which products of the permit
- 15 holder are displayed, promoted, and sold. The permit holder
- 16 may:
- 17 (i) provide samples of the brewery's beer for consumption on
- 18 the premises, subject to a limit of three (3) samples of not
- 19 more than six (6) ounces per person; and
- 20 (ii) sell six (6), twelve (12), and twenty-four (24) packs of
- 21 twelve (12) ounce or sixteen (16) ounce cans of the
- 22 brewery's beer in qualified containers for consumption off
- 23 the premises.
- 24 (6) If the brewer's brewery manufactures more than ninety
- 25 thousand (90,000) barrels of beer in a calendar year for sale or
- 26 distribution within Indiana, the permit holder may own a portion
- 27 of the corporate stock of another brewery that:
- 28 (A) is located in the same county as the brewer's brewery;
- 29 (B) manufactures less than ninety thousand (90,000) barrels of
- 30 beer in a calendar year; and
- 31 (C) is the proprietor of a restaurant that operates under
- 32 subdivision (5).
- 33 (7) Provide complimentary samples of beer that are:
- 34 (A) produced by the brewer; and
- 35 (B) offered to consumers for consumption on the brewer's
- 36 premises.
- 37 (8) Own a portion of the corporate stock of a sports corporation
- 38 that:
- 39 (A) manages a minor league baseball stadium located in the
- 40 same county as the brewer's brewery; and
- 41 (B) holds a beer retailer's permit, a wine retailer's permit, or a
- 42 liquor retailer's permit for a restaurant located in that stadium.



(9) For beer described in IC 7.1-1-2-3(a)(4):

(A) may allow transportation to and consumption of the beer on the licensed premises; and

(B) may not sell, offer to sell, or allow sale of the beer on the licensed premises.

(10) Sell, donate, transport, and deliver beer to a qualified organization for:

(A) an allowable event under IC 7.1-3-6.1;

(B) a charity auction under IC 7.1-3-6.2; or

(C) an event under IC 7.1-3-6.3.

SECTION 3. IC 7.1-3-4-6, AS AMENDED BY P.L.167-2024, SECTION 5, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 6. (a) The holder of a beer retailer's permit shall be entitled to purchase beer for sale under the permit only from a permittee entitled to sell to the beer retailer under this title. A beer retailer shall be entitled to possess beer and sell beer at retail to a customer for consumption on the licensed premises. A beer retailer also shall be entitled to sell beer to a customer and deliver beer in permissible containers to the customer on the licensed premises, or to the customer's house **or office. A beer retailer also shall be entitled to prepare, sell, and deliver beer in qualified containers to the customer on the licensed premises or to the customer's house or office.** This delivery may only be performed by:

(1) the permit holder or an employee who holds an employee permit; **or**

(2) a third party delivery service under IC 7.1-3-34.

The permit holder shall maintain a written record of each delivery for at least one (1) year that shows the customer's name, location of delivery, and quantity sold. Subject to subsection ~~(g)~~, **(h)**, a beer retailer also may prepare and package beer in qualified containers for sale and delivery to a customer on the licensed premises for consumption off the licensed premises.

(b) A beer retailer shall not be entitled to sell beer at wholesale. A beer retailer shall not be entitled to sell and deliver beer on the street or at the curb outside the licensed premises, nor shall a beer retailer be entitled to sell beer at a place other than the licensed premises. However, a beer retailer may offer food service (excluding alcoholic beverages) to a patron who is outside the licensed premises by transacting business through a window in the licensed premises.

(c) A beer retailer shall be entitled to sell and deliver warm or cold beer for carry out, or for at-home delivery **or to a customer's office**, in barrels or other commercial containers in a quantity that does not



1 exceed fifteen and one-half (15 1/2) gallons at any one (1) time. A beer
 2 retailer that delivers beer to a customer's residence **or to a customer's**
 3 **office** must require the customer to provide proof of age in accordance
 4 with IC 7.1-5-10-23.

5 **(d) A delivery performed by a third party delivery service must**
 6 **comply with IC 7.1-3-34 and is not subject to subsections (e)**
 7 **through (g).**

8 ~~(d)~~ **(e)** Notwithstanding IC 7.1-1-3-20, the licensed premises of the
 9 beer retailer may include the beer retailer parking lot or an area
 10 adjacent to the beer retailer that may only be used for the purpose of
 11 conveying alcoholic beverages and other nonalcoholic items to a
 12 customer, and may not be used for point of sale purposes or any other
 13 purpose. Any alcoholic beverages conveyed to the customer must
 14 satisfy the following:

15 (1) Alcoholic beverages that are in the sealed original containers
 16 must be placed in a bag that is stamped, printed, or labeled on the
 17 outside: "CONTAINS ALCOHOLIC BEVERAGES".

18 (2) Alcoholic beverages that are prepared by the beer retailer
 19 must be packaged by the beer retailer in qualified containers that
 20 are:

21 (A) stamped, printed, or labeled on the outside: "CONTAINS
 22 ALCOHOLIC BEVERAGES"; or

23 (B) placed in a bag stamped, printed, or labeled on the outside:
 24 "CONTAINS ALCOHOLIC BEVERAGES".

25 (3) Placed by an employee of the permittee who is at least
 26 twenty-one (21) years of age:

27 (A) in the trunk of the motor vehicle; or

28 (B) behind the last upright seat of the motor vehicle, if the
 29 motor vehicle is not equipped with a trunk.

30 A retailer permittee may only convey a customer's order of alcoholic
 31 beverages to the customer, if the customer has also purchased a meal
 32 from the retailer permittee that is conveyed to the customer at the same
 33 time as the alcoholic beverages.

34 ~~(e)~~ **(f)** The employee of the permittee that conveys the alcoholic
 35 beverages to the customer must require the customer to provide proof
 36 of age in accordance with IC 7.1-5-10-23.

37 ~~(f)~~ **(g)** The parking lot or area where the alcoholic beverages are
 38 conveyed to the customer must be:

39 (1) well lit; and

40 (2) within clear view of the main entrance to the building of the
 41 retailer premises.

42 ~~(g)~~ **(h)** If a beer retailer prepares and packages beer:



(1) for sale and delivery to a customer on the licensed premises for consumption off the licensed premises; and
 (2) in a container that is not in a qualified container;
 the commission may revoke the beer retailer's privilege under this section of preparing and packaging beer for sale and delivery to a customer in a qualified container.

SECTION 4. IC 7.1-3-5-3, AS AMENDED BY P.L.164-2025, SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3. (a) The holder of a beer dealer's permit shall be entitled to purchase beer for sale under the permit only from a permittee entitled to sell to a beer dealer under this title.

(b) A beer dealer shall be entitled to possess beer and sell it at retail to a customer in permissible containers only.

(c) A beer dealer may not sell beer by the drink nor for consumption on the licensed premises nor shall a beer dealer allow it to be consumed on the licensed premises.

(d) Except as provided in subsection (e), a beer dealer shall be entitled to sell beer to a customer and deliver it in permissible containers to the customer on the licensed premises, or to the customer's residence or office. A beer dealer shall not be entitled to sell and deliver beer on the street or at the curb outside the licensed premises, nor shall a beer dealer be entitled to sell beer at a place other than the licensed premises. This delivery may only be performed by:

(1) the permit holder or an employee who holds an employee permit; or

(2) a third party delivery service under IC 7.1-3-34.

However, notwithstanding IC 7.1-5-10-11, a beer dealer who is licensed pursuant to IC 7.1-3-10-4 shall be entitled to sell and deliver warm or cold beer for carry-out, or for delivery to a customer's residence or office, ~~or in accordance with subdivision (1) or (2).~~ **A beer dealer licensed under IC 7.1-3-10-4 is also entitled to sell and deliver warm or cold beer for delivery to a designated location, in accordance with subdivision (1),** in barrels or other commercial containers that do not exceed two thousand sixteen (2,016) ounces per container. The permit holder shall maintain a written record of each delivery for at least one (1) year that shows the customer's name, location of delivery, and quantity sold.

(e) Unless a beer dealer is a grocery store or drug store, a beer dealer may not sell or deliver alcoholic beverages or any other item through a window in the licensed premises to a patron who is outside the licensed premises. A beer dealer that is a grocery store or drug store may sell any item except alcoholic beverages through a window in the



licensed premises to a patron who is outside the licensed premises.

SECTION 5. IC 7.1-3-9-9, AS AMENDED BY P.L.167-2024, SECTION 6, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 9. (a) The holder of a liquor retailer's permit shall be entitled to purchase liquor only from a permittee entitled to sell to the liquor retailer under this title **including a package liquor store under IC 7-3-10-5**. A liquor retailer shall be entitled to possess liquor and sell liquor at retail to a customer for consumption on the licensed premises. A liquor retailer also shall be entitled to sell liquor to a customer and deliver liquor in permissible containers to the customer on the licensed premises, or to the customer's house **or office**. **A liquor retailer also shall be entitled to prepare, sell, and deliver liquor in qualified containers to the customer on the licensed premises or to the customer's house or office.** This delivery may only be performed by:

(1) the permit holder or an employee who holds an employee permit; **or**

(2) **a third party delivery service under IC 7.1-3-34.**

The permit holder shall maintain a written record of each delivery for at least one (1) year that shows the customer's name, location of delivery, and quantity sold. Subject to subsection ~~(g)~~; **(h)**, a liquor retailer also may prepare and package liquor in qualified containers for sale and delivery to a customer on the licensed premises for consumption off the licensed premises.

(b) A liquor retailer shall not be entitled to sell liquor at wholesale. A liquor retailer shall not be entitled to sell and deliver liquor on the street or at the curb outside the licensed premises, nor shall a liquor retailer be entitled to sell liquor at a place other than the licensed premises. However, a liquor retailer may offer food service (excluding alcoholic beverages) to a patron who is outside the licensed premises by transacting business through a window in the licensed premises.

(c) A liquor retailer shall not be entitled to sell and deliver liquor for carry out or for at-home delivery, in a quantity that exceeds four (4) quarts at any one (1) time. A liquor retailer that delivers liquor to a customer's residence **or office** must require the customer to provide proof of age in accordance with IC 7.1-5-10-23.

(d) A delivery performed by a third party delivery service must comply with IC 7.1-3-34 and is not subject to subsections (e) through (g).

~~(d)~~ **(e)** Notwithstanding IC 7.1-1-3-20, the licensed premises of the liquor retailer may include the liquor retailer parking lot or an area adjacent to the liquor retailer that may only be used for the purpose of



conveying alcoholic beverages and other nonalcoholic items to a customer, and may not be used for point of sale purposes or any other purpose. Any alcoholic beverages conveyed to the customer must satisfy the following:

(1) Alcoholic beverages that are in the sealed original containers must be placed in a bag that is stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES".

(2) Alcoholic beverages that are prepared by the liquor retailer must be packaged by the liquor retailer in qualified containers that are:

(A) stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES"; or

(B) placed in a bag stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES".

(3) Placed by an employee of the permittee who is at least twenty-one (21) years of age:

(A) in the trunk of the motor vehicle; or

(B) behind the last upright seat of the motor vehicle, if the motor vehicle is not equipped with a trunk.

A retailer permittee may only convey a customer's order of alcoholic beverages to the customer if the customer has also purchased a meal from the retailer permittee that is conveyed to the customer at the same time as the alcoholic beverages.

~~(e)~~ (f) The employee of the permittee that conveys the alcoholic beverages to the customer must require the customer to provide proof of age in accordance with IC 7.1-5-10-23.

~~(f)~~ (g) The parking lot or area where the alcoholic beverages are conveyed to the customer **or** must be:

(1) well lit; and

(2) within clear view of the main entrance to the building of the retailer premises.

~~(g)~~ (h) If a liquor retailer prepares and packages liquor:

(1) for sale and delivery to a customer on the licensed premises for consumption off the licensed premises; and

(2) in a container that is not in a qualified container;

the commission may revoke the liquor retailer's privilege under this section of preparing and packaging liquor for sale and delivery to a customer in a qualified container.

SECTION 6. IC 7.1-3-10-5 IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 5. (a) A package liquor store's exclusive business shall be the selling of the following commodities only:



- 1 (1) Liquor in its original package.
- 2 (2) Beer in permissible containers, if the permittee has the proper
- 3 permit.
- 4 (3) Wine in its original package.
- 5 (4) Bar supplies used in the preparation for consumption of
- 6 alcoholic beverages and in their consumption.
- 7 (5) Tobacco products.
- 8 (6) Uncooled and uniced charged water, carbonated soda, ginger
- 9 ale, mineral water, grenadine, and flavoring extracts.
- 10 (7) Printed materials.
- 11 (8) Lottery tickets as provided in IC 4-30-9.
- 12 (9) Cooled or uncooled nonalcoholic malt beverages.
- 13 (10) Flavored malt beverage in its original package.

14 **(b) A package liquor store may sell liquor, beer, and wine to the**
 15 **holder of a liquor retailer's permit under IC 7.1-3-9 or a catering**
 16 **hall permit issued under IC 7.1-3-20-24.**

17 SECTION 7. IC 7.1-3-10-7, AS AMENDED BY P.L.164-2025,
 18 SECTION 5, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 19 JULY 1, 2026]: Sec. 7. (a) The holder of a liquor dealer's permit shall
 20 be entitled to purchase liquor only from a permittee entitled to sell to
 21 a liquor dealer under this title.

22 (b) A liquor dealer shall be entitled to possess liquor and sell it at
 23 retail in its original package to a customer only for consumption off the
 24 licensed premises.

25 (c) A liquor dealer may deliver liquor only in permissible containers
 26 to a customer's residence or office. This delivery may only be
 27 performed by:

28 (1) the permit holder or an employee who holds an employee
 29 permit; **or**

30 **(2) a third party delivery service under IC 7.1-3-34.**

31 However, a liquor dealer who is licensed under IC 7.1-3-10-4 may
 32 deliver liquor in permissible containers to a customer's residence **or**
 33 office, ~~or in accordance with subdivision (1) or (2).~~ **A liquor dealer**
 34 **licensed under IC 7.1-3-10-4 is also entitled to deliver liquor in**
 35 **permissible containers to a designated location, if the delivery is**
 36 **performed by the permit holder or an employee who holds an**
 37 **employee permit.** The permit holder shall maintain a written record of
 38 each delivery for at least one (1) year that shows the customer's name,
 39 location of delivery, and quantity sold.

40 (d) A liquor dealer may not sell or deliver alcoholic beverages or
 41 any other item through a window in the licensed premises to a patron
 42 who is outside the licensed premises. However, a liquor dealer that is



1 a drug store may sell prescription drugs and health and beauty aids
 2 through a window in the licensed premises to a patron who is outside
 3 the licensed premises.

4 SECTION 8. IC 7.1-3-12-5, AS AMENDED BY P.L.186-2025,
 5 SECTION 277, IS AMENDED TO READ AS FOLLOWS
 6 [EFFECTIVE JULY 1, 2026]: Sec. 5. (a) The following apply to the
 7 holder of a farm winery permit:

8 (1) A holder is entitled to manufacture wine and to place wine
 9 produced by the permit holder's farm winery in bottles or other
 10 permissible containers.

11 (2) A holder is entitled to serve complimentary samples of the
 12 winery's wine on the licensed premises or an outside area that is
 13 contiguous to the licensed premises, as approved by the
 14 commission if each employee who serves wine on the licensed
 15 premises:

16 (A) holds an employee's permit under IC 7.1-3-18-9; and

17 (B) completes a server training program approved by the
 18 commission.

19 (3) A holder is entitled to sell the winery's wine on the licensed
 20 premises to consumers either by:

21 (A) the glass;

22 (B) the bottle;

23 (C) a box that contains a bag designed for storing and
 24 dispensing wine;

25 (D) any combination of receptacles listed in clauses (A)
 26 through (C); or

27 (E) any other container permissible under federal law.

28 Notwithstanding IC 7.1-1-3-20, the licensed premises may
 29 include the farm winery parking lot or an area adjacent to the farm
 30 winery. The parking lot or an adjacent area may only be used for
 31 the purpose of conveying alcoholic beverages and other
 32 nonalcoholic items to a customer subject to section 5.5 of this
 33 chapter, and may not be used for point of sale purposes or any
 34 other purpose. **The winery's wine may be delivered to a
 35 consumer's residence or office by a third party delivery
 36 service under IC 7.1-3-34.**

37 (4) A holder is entitled to sell wine by:

38 (A) the bottle;

39 (B) the can;

40 (C) a box that contains a bag designed for storing and
 41 dispensing wine;

42 (D) bulk container;



- 1 (E) the case; or
- 2 (F) any combination of receptacles listed in clauses (A)
- 3 through (E);
- 4 to a person who is the holder of a permit to sell wine at wholesale.
- 5 (5) A holder is exempt from the provisions of IC 7.1-3-14.
- 6 (6) A holder is entitled to advertise the name and address of any
- 7 retailer or dealer who sells wine produced by the permit holder's
- 8 winery.
- 9 (7) A holder for wine described in IC 7.1-1-2-3(a)(4):
- 10 (A) may allow transportation to and consumption of the wine
- 11 on the licensed premises; and
- 12 (B) may not sell, offer to sell, or allow the sale of the wine on
- 13 the licensed premises.
- 14 (8) A holder is entitled to purchase and sell bulk wine as set forth
- 15 in this chapter.
- 16 (9) A holder is entitled to sell wine as authorized by this section
- 17 for carryout on Sunday.
- 18 (10) A holder is entitled to sell and ship the farm winery's wine to
- 19 a person located in another state in accordance with the laws of
- 20 the other state.
- 21 (11) A holder is entitled to sell the farm winery's wine to the
- 22 holder of a supplemental caterer's permit issued under
- 23 IC 7.1-3-9.5 for on-premises consumption only at an event that is
- 24 held outdoors on property that is contiguous to the farm winery as
- 25 approved by the commission.
- 26 (12) A holder is entitled to be the proprietor of a restaurant that is
- 27 not subject to the minimum gross food sales or the minimum
- 28 projected food sales set forth in 905 IAC 1-41-2 and the gross
- 29 retail income requirements to sell carryout under IC 7.1-3-20-9.5.
- 30 A holder is entitled to conduct the following activities:
- 31 (A) Hold a beer retailer's permit, a wine retailer's permit, or a
- 32 liquor retailer's permit for a restaurant.
- 33 (B) Transfer wine directly from the farm winery to a restaurant
- 34 that the farm winery has an interest in by means of:
- 35 (i) bottles or cans;
- 36 (ii) bulk containers; or
- 37 (iii) a continuous flow system.
- 38 (C) Install a window between the farm winery and an adjacent
- 39 restaurant that allows the public and the holder of the permit
- 40 to view both premises.
- 41 (D) Install a doorway or other opening between the farm
- 42 winery and an adjacent restaurant that provides the public and



- 1 the holder of the permit with access to both the farm winery
 2 and restaurant.
- 3 (13) A holder that does not distribute through an Indiana wine
 4 wholesaler is entitled under the farm winery permit to sell and
 5 deliver to a person holding a wine retailer or wine dealer permit
 6 under this title a total of not more than three thousand (3,000)
 7 gallons of the farm winery's wine in a calendar year, if the farm
 8 winery has not sold in Indiana more than fifteen thousand
 9 (15,000) gallons the previous calendar year. A holder that sells
 10 and delivers under this subdivision shall comply with all
 11 provisions applicable to a wholesaler in 905 IAC 1-5.1, 905
 12 IAC 1-5.2, 905 IAC 1-21, 905 IAC 1-31, and 905 IAC 1-32.1.
- 13 (14) A holder may sell, donate, transport, and deliver wine to a
 14 qualified organization conducting any of the following:
- 15 (A) An allowable event under IC 7.1-3-6.1.
 - 16 (B) A charity auction under IC 7.1-3-6.2.
 - 17 (C) An event under IC 7.1-3-6.3.
- 18 (b) With the approval of the commission, a holder of a permit under
 19 this chapter may conduct business at not more than three (3) additional
 20 locations that are separate from the winery. At the additional locations,
 21 the holder of a permit may conduct any business that is authorized at
 22 the first location, except for manufacturing wine or placing wine in
 23 bottles or containers.
- 24 (c) A farm winery may transfer wine from a storage facility or an
 25 additional location described in subsection (b). A farm winery may sell
 26 or transfer wine directly to a wine wholesaler from a storage facility
 27 separate from the farm winery or an additional location described in
 28 subsection (b). A farm winery may not sell or transfer wine from a
 29 storage facility to any other permittee or a consumer. The farm winery
 30 shall maintain an adequate written record of wine transferred:
- 31 (1) between the farm winery and the storage facility; and
 - 32 (2) from the storage facility to the wholesaler.
- 33 (d) With the approval of the commission, a holder of a permit under
 34 this chapter may:
- 35 (1) individually; or
 - 36 (2) with other permit holders under this chapter, holders of artisan
 37 distiller's permits, holders of brewer's permits issued under
 38 IC 7.1-3-2-2(b), or any combination of holders described in this
 39 subdivision;
- 40 participate in a trade show or an exposition at which products of each
 41 permit holder participant are displayed, promoted, and sold. All of the
 42 permit holders may occupy the same tent, structure, or building. The



1 commission may not grant approval under this subsection to a holder
2 of a permit under this chapter for more than seventy-five (75) days in
3 a calendar year.

4 (e) With the approval of the commission under subsection (d), a
5 holder of a permit may participate in a farmers' market at which
6 products of the permit holder are displayed, promoted, and sold. The
7 permit holder may:

8 (1) provide samples of the permit holder's wine for consumption
9 on the premises, subject to a limit of three (3) samples of not
10 more than one (1) ounce per person; and

11 (2) sell the permit holder's wine in a qualified container for
12 consumption off the premises.

13 SECTION 9. IC 7.1-3-14-4, AS AMENDED BY P.L.167-2024,
14 SECTION 7, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
15 JULY 1, 2026]: Sec. 4. (a) The holder of a wine retailer's permit is
16 entitled to purchase wine only from a permittee entitled to sell to the
17 wine retailer under this title. A wine retailer is entitled to possess wine
18 and sell wine at retail to a customer for consumption on the licensed
19 premises. A wine retailer is also entitled to sell wine to a customer and
20 deliver wine in permissible containers to the customer on the licensed
21 premises or to the customer's house **or office. A wine retailer also**
22 **shall be entitled to prepare, sell, and deliver wine in qualified**
23 **containers to the customer on the licensed premises or to the**
24 **customer's house or office.** This delivery may only be performed by:

25 (1) the permit holder or an employee who holds an employee
26 permit; **or**

27 (2) **a third party delivery service under IC 7.1-3-34.**

28 The permit holder shall maintain a written record of each delivery for
29 at least one (1) year that shows the customer's name, location of
30 delivery, and quantity sold. Subject to subsection ~~(g)~~, **(h)**, a wine
31 retailer also may prepare and package wine in qualified containers for
32 sale and delivery to a customer on the licensed premises for
33 consumption off the licensed premises.

34 (b) A wine retailer is not entitled to sell wine at wholesale. A wine
35 retailer is not entitled to sell and deliver wine on the street or at the
36 curb outside the licensed premises, nor is the wine retailer entitled to
37 sell wine at a place other than the licensed premises. However, a wine
38 retailer may offer food service (excluding alcoholic beverages) to a
39 patron who is outside the licensed premises by transacting business
40 through a window in the licensed premises.

41 (c) A wine retailer is entitled to sell and deliver wine for carry out,
42 or for at-home delivery. A wine retailer that delivers wine to a



customer's residence **or office** must require the customer to provide proof of age in accordance with IC 7.1-5-10-23.

(d) A delivery performed by a third party delivery service must comply with IC 7.1-3-34 and is not subject to subsections (e) through (g).

~~(d)~~ **(e)** Notwithstanding IC 7.1-1-3-20, the licensed premises of the wine retailer may include the wine retailer parking lot or an area adjacent to the wine retailer that may only be used for the purpose of conveying alcoholic beverages and other nonalcoholic items to a customer and may not be used for point of sale purposes or any other purpose. Any alcoholic beverages conveyed to the customer must satisfy the following:

(1) Alcoholic beverages that are in the sealed original containers must be placed in a bag that is stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES".

(2) Alcoholic beverages that are prepared by the wine retailer must be packaged by the wine retailer in qualified containers that are:

(A) stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES"; or

(B) placed in a bag stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES".

(3) Placed by an employee of the permittee who is at least twenty-one (21) years of age:

(A) in the trunk of the motor vehicle; or

(B) behind the last upright seat of the motor vehicle, if the motor vehicle is not equipped with a trunk.

A retailer permittee may only convey a customer's order of alcoholic beverages to the customer, if the customer has also purchased a meal from the retailer permittee that is conveyed to the customer at the same time as the alcoholic beverages.

~~(e)~~ **(f)** The employee of the permittee that conveys the alcoholic beverages to the customer must require the customer to provide proof of age in accordance with IC 7.1-5-10-23.

~~(f)~~ **(g)** The parking lot or area where the alcoholic beverages are conveyed to the customer must be:

(1) well lit; and

(2) within clear view of the main entrance to the building of the retailer premises.

~~(g)~~ **(h)** If a wine retailer prepares and packages wine:

(1) for sale and delivery to a customer on the licensed premises for consumption off the licensed premises; and



(2) in a container that is not in a qualified container;
the commission may revoke the wine retailer's privilege under this section of preparing and packaging wine for sale and delivery to a customer in a qualified container.

SECTION 10. IC 7.1-3-15-3, AS AMENDED BY P.L.186-2025, SECTION 284, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3. (a) The holder of a wine dealer's permit shall be entitled to purchase wine only from a permittee who is authorized to sell to a wine dealer under this title. A wine dealer shall be entitled to sell wine for consumption off the licensed premises only and not by the drink.

(b) A wine dealer shall be entitled to sell wine in permissible containers. However, a wine dealer who is licensed under IC 7.1-3-10-4 may possess wine and sell it at retail in its original package to a customer only for consumption off the licensed premises.

(c) Unless a wine dealer is a grocery store or drug store, a wine dealer may not sell or deliver alcoholic beverages or any other item through a window in the licensed premises to a patron who is outside the licensed premises. A wine dealer that is a grocery store or drug store may sell any item except alcoholic beverages through a window in the licensed premises to a person who is outside the licensed premises.

(d) A wine dealer may deliver wine as follows:

(1) Except as provided in subdivision (2), only in permissible containers to a customer's ~~(A)~~ residence or ~~(B)~~ office **delivered by:**

(A) the permit holder or an employee who holds an employee permit; or

(B) a third party delivery service under IC 7.1-3-34.

(2) In the case of a wine dealer who is licensed under IC 7.1-3-10-4, only in permissible containers to a customer's:

(A) residence or ~~(B)~~ office **delivered by:**

(i) the permit holder or an employee who holds an employee permit; or

(ii) a third party delivery service under IC 7.1-3-34; or

~~(C)~~ **(B) designated location delivered by the permit holder or an employee who holds an employee permit.**

A wine delivery may only be performed by the permit holder or an employee who holds an employee permit. The permit holder shall maintain a written record of each delivery for at least one (1) year that shows the customer's name, location of delivery, and quantity sold.

(e) The holder of a wine dealer's permit may sell, donate, transport,



and deliver wine to a qualified organization for:

- (1) an allowable event under IC 7.1-3-6.1;
- (2) a charity auction under IC 7.1-3-6.2; or
- (3) an event under IC 7.1-3-6.3.

SECTION 11. IC 7.1-3-20-24 IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 24. (a) This section does not affect the requirements necessary to obtain a permit to sell alcoholic beverages on the premises of a licensed premises.

(b) The commission may designate a licensed permit premises used exclusively for catered events as a catering hall.

(c) Catering halls designated under this section are not required to be open to the general public. However, if a designated catering hall desires to host an event that is open to the general public, the catering hall shall comply with the notice requirement under IC 7.1-3-9.5-2. A catering hall with a special three-way catering hall permit under subsection (d) may not be open to the general public.

(d) The commission may issue a special three-way catering hall permit to an applicant to sell alcoholic beverages for on premises consumption on a premises that:

- (1) is used only for private catered events as a catering hall; and
- (2) has accommodations for at least two hundred fifty (250) individuals.

An applicant who is issued a permit under this subsection is not required to obtain a restaurant permit.

(e) A permit authorized by subsection (d) may be issued without regard to the quota provisions of IC 7.1-3-22.

(f) The holder of a catering hall permit issued under this section shall be entitled to purchase beer, wine, and liquor from a package liquor store.

~~(f)~~ (g) The commission shall adopt rules under IC 4-22-2 to implement this section.

SECTION 12. IC 7.1-3-21-15, AS AMENDED BY P.L.145-2024, SECTION 15, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 15. (a) This section does not apply to an employee's permit under IC 7.1-3-18-9.

(b) The commission shall not renew or transfer a wholesaler, retailer, dealer, or other permit of any type if the applicant:

- (1) is seeking a renewal and the applicant has not paid all the:
 - (A) property taxes under IC 6-1.1 **that the applicant is statutorily or contractually obligated to pay;** and
 - (B) ~~the~~ innkeeper's tax under IC 6-9;
- that are due currently;



- (2) is seeking a transfer and the applicant has not paid all the:
- (A) property taxes under IC 6-1.1 **that the applicant is statutorily or contractually obligated to pay;** and
 - (B) innkeeper's tax under IC 6-9;
- for the assessment periods during which the transferor held the permit;
- (3) is seeking a renewal or transfer and is at least thirty (30) days delinquent in remitting:
- (A) state gross retail taxes under IC 6-2.5; or
 - (B) withholding taxes required to be remitted under IC 6-3-4;
- (4) is on the most recent tax warrant list supplied to the commission by the department of state revenue; or
- (5) does not provide the commission with property tax clearance Form 1.

(c) The commission shall renew or transfer a permit that the commission denied under subsection (b) when the appropriate one (1) of the following occurs:

(1) The person, if seeking a renewal, provides to the commission a statement from the county treasurer of the county in which the property of the applicant was assessed indicating that all:

- (A) the property taxes under IC 6-1.1 **that the applicant is statutorily or contractually obligated to pay;** and

- (B) in a county where the county treasurer collects the innkeeper's tax, the innkeeper's tax under IC 6-9;

that were delinquent have been paid.

(2) The person, if seeking a transfer of ownership, provides to the commission a statement from the county treasurer of the county in which the property of the transferor was assessed indicating that all:

- (A) the property taxes under IC 6-1.1 **that the applicant is statutorily or contractually obligated to pay;** and

- (B) in a county where the county treasurer collects the innkeeper's tax, the innkeeper's tax under IC 6-9;

have been paid for the assessment periods during which the transferor held the permit.

(3) The person provides to the commission a statement from the commissioner of the department of state revenue indicating that the person's tax warrant has been satisfied, including any delinquency in innkeeper's tax if the state collects the innkeeper's tax for the county in which the person seeks the permit.

(4) The commission receives a notice from the commissioner of the department of state revenue under IC 6-8.1-8-2(k).



(5) The commission receives a notice from the commissioner of the department of state revenue stating that:

(A) the state gross retail **taxes**; and

(B) withholding taxes;

described in subsection (b)(3) have been remitted to the department.

(d) The commission shall not issue a new wholesaler, retailer, dealer, or other permit of any type if the applicant:

(1) has not paid all the applicant's:

(A) property taxes under IC 6-1.1 **that the applicant is statutorily or contractually obligated to pay**; and

(B) innkeeper's tax under IC 6-9 that are due;

(2) is at least thirty (30) days delinquent in remitting:

(A) state gross retail taxes under IC 6-2.5; or

(B) withholding taxes required to be remitted under IC 6-3-4;

(3) is on the most recent tax warrant list supplied to the commission by the department of state revenue; or

(4) does not provide the commission with property tax clearance Form 1.

(e) The commission shall issue a new permit that the commission denied under subsection (d) when one (1) of the following occurs:

(1) The applicant provides to the commission a statement from the commissioner of the department of state revenue indicating that the applicant's tax warrant has been satisfied, including any delinquency in innkeeper's tax if the state collects the innkeeper's tax for the county in which the applicant seeks the permit.

(2) The commission receives a notice of release from the commissioner of the department of state revenue under IC 6-8.1-8-2(k).

(3) The commission receives a notice from the commissioner of the department of state revenue stating that:

(A) the state gross retail **taxes**; and

(B) withholding taxes;

described in subsection (d)(2) have been remitted to the department.

(f) An applicant for issuance of a new permit, renewal, or transfer may not be considered delinquent in the payment of a listed tax (as defined by IC 6-8.1-1-1) if the applicant has filed a proper protest under IC 6-8.1-5-1 contesting the remittance of those taxes. The applicant shall be considered delinquent in the payment of those taxes if the applicant does not remit the taxes owed to the state department of revenue after the later of the following:



(1) The expiration of the period in which the applicant may appeal the listed tax to the tax court, in the case of an applicant who does not file a timely appeal of the listed tax.

(2) When a decision of the tax court concerning the applicant's appeal of the listed tax becomes final, in the case of an applicant who files a timely appeal of the listed tax.

(g) The commission may require that an applicant for the issuance of a new permit, renewal, or transfer of a wholesaler's, retailer's, or dealer's, or other permit of any type furnish proof of the payment of a listed tax (as defined by IC 6-8.1-1-1), tax warrant, or taxes imposed by IC 6-1.1 or receipt of property tax clearance Form 1.

(h) The commission may issue to any applicant for renewal of a permit that is delinquent in the payment of a listed tax (as defined in IC 6-8.1-1-1) not more than one (1) ninety (90) day extension of the term of the permit.

SECTION 13. IC 7.1-3-22.5 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]:

Chapter 22.5. Dealers' Permits Not Subject to Quota

Sec. 1. As used in this chapter, "permit" means a permit issued under this chapter.

Sec. 2. The commission may issue a:

(1) beer dealer's permit; or

(2) wine dealer's permit;

that is not subject to the quota provisions of IC 7.1-3-22.

Sec. 3. The commission shall charge an initial permit fee and annual renewal fee under IC 7.1-4-4.1-12.5.

Sec. 4. A permit is subject to all of the following:

(1) The ownership of a permit may not be transferred.

(2) The location for which the permit was issued may not be transferred.

(3) Notwithstanding IC 7.1-3-1.1, if the business operations cease at the permit premises for more than six (6) months:

(A) the permit reverts to the commission; and

(B) the permit holder is not entitled to any refund or other compensation.

SECTION 14. IC 7.1-3-26-1, AS ADDED BY P.L.165-2006, SECTION 34, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 1. This chapter does not apply to the serving or selling of:

(1) wine in accordance with IC 7.1-3-12; or

(2) brandy in accordance with IC 7.1-3-7.5; or



(3) beer in accordance with IC 7.1-3-2.

SECTION 15. IC 7.1-3-26-2, AS ADDED BY P.L.165-2006, SECTION 34, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 2. As used in this chapter, "applicant" means a person that applies to the commission for a:

(1) direct wine seller's permit; or

(2) direct beer seller's permit.

SECTION 16. IC 7.1-3-26-3, AS ADDED BY P.L.165-2006, SECTION 34, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3. As used in this chapter, "consumer" means an individual with an Indiana address who purchases **wine product** from a seller.

SECTION 17. IC 7.1-3-26-3.5 IS ADDED TO THE INDIANA CODE AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 3.5. As used in this chapter, "product" means the alcoholic beverage that a seller's permit authorizes the seller to sell and ship directly to a consumer as follows:**

(1) If the seller holds a direct wine seller's permit, "product" means wine.

(2) If the seller holds a direct beer seller's permit, "product" means beer.

SECTION 18. IC 7.1-3-26-4, AS ADDED BY P.L.165-2006, SECTION 34, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 4. As used in this chapter, "seller" means the holder of:

(1) a direct wine seller's permit; or

(2) a direct beer seller's permit;

issued under this chapter.

SECTION 19. IC 7.1-3-26-5, AS AMENDED BY P.L.159-2014, SECTION 4, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 5. (a) A person located within Indiana or outside Indiana that wants to sell and ship **product to a consumer must comply with the following:**

(1) A person that wants to sell and ship wine directly to a consumer must:

(A) be the holder of a valid direct wine seller's permit; and

(B) comply with this chapter.

(2) A person that wants to sell and ship beer directly to a consumer must:

(A) be the holder of a valid direct beer seller's permit; and

(B) comply with this chapter.



1 A person that sells and ships ~~wine~~ **product** directly to a consumer
 2 without holding a ~~valid direct wine seller's~~ **the appropriate** permit as
 3 **set forth in this subsection** commits a Class A infraction.

4 (b) The offense described in subsection (a) is:

5 (1) a Class A misdemeanor if the seller:

6 (A) knowingly or intentionally violates this section; and

7 (B) has one (1) prior unrelated conviction or judgment for an
 8 infraction under this chapter for an act or omission that
 9 occurred not more than ten (10) years before the act or
 10 omission that is the basis for the most recent conviction or
 11 judgment for an infraction; and

12 (2) a Level 6 felony if the seller:

13 (A) knowingly or intentionally violates this section; and

14 (B) has at least two (2) prior unrelated convictions or
 15 judgments for infractions under this chapter for acts or
 16 omissions that occurred not more than ten (10) years before
 17 the act or omission that is the basis for the most recent
 18 conviction or judgment for an infraction.

19 SECTION 20. IC 7.1-3-26-6, AS AMENDED BY P.L.107-2015,
 20 SECTION 6, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 21 JULY 1, 2026]: Sec. 6. (a) A seller may sell and ship ~~wine~~ **product**
 22 directly only to a consumer who meets all of the following
 23 requirements:

24 (1) The consumer is at least twenty-one (21) years of age.

25 (2) The consumer has an Indiana address.

26 (3) The consumer intends to use ~~wine~~ **product** purchased under
 27 this chapter for personal use only and not for resale or other
 28 commercial purposes.

29 (b) A seller who violates this section commits a Class A infraction.

30 However, the offense is:

31 (1) a Class A misdemeanor if the seller:

32 (A) knowingly or intentionally violates this section; and

33 (B) has one (1) prior unrelated conviction or judgment for an
 34 infraction under this chapter for an act or omission that
 35 occurred not more than ten (10) years before the act or
 36 omission that is the basis for the most recent conviction or
 37 judgment for an infraction; and

38 (2) a Level 6 felony if the seller:

39 (A) knowingly or intentionally violates this section; and

40 (B) has at least two (2) prior unrelated convictions or
 41 judgments for infractions under this chapter for acts or
 42 omissions that occurred not more than ten (10) years before



the act or omission that is the basis for the most recent conviction or judgment for an infraction.

SECTION 21. IC 7.1-3-26-7.1 IS ADDED TO THE INDIANA CODE AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 7.1. (a) The commission may issue a direct beer seller's permit to an applicant who meets all of the following requirements:**

(1) **The applicant is domiciled and has its principal place of business in the United States.**

(2) **The applicant is engaged in the manufacture of beer.**

(3) **The applicant holds and acts within the scope of authority of an alcoholic beverage license or permit to manufacture beer that is required:**

(A) **in Indiana or the state where the applicant is domiciled; and**

(B) **by the Tax and Trade Bureau of the United States Department of the Treasury.**

(4) **The applicant qualifies with the secretary of state to do business in Indiana and consents to the personal jurisdiction of the commission and the courts of Indiana.**

(5) **The applicant completes documentation regarding the applicant's application required by the commission.**

(b) **The commission may issue a direct beer seller's permit to an applicant who:**

(1) **meets the requirements under subsection (a); and**

(2) **holds a permit issued under this title that allows the sale of an alcoholic beverage at retail.**

(c) **Nothing in this chapter:**

(1) **prohibits a holder of a direct beer seller's permit from also distributing beer through a wholesaler; or**

(2) **affects any agreement that a holder of a direct beer seller's permit enters into with a wholesaler.**

SECTION 22. IC 7.1-3-26-8, AS AMENDED BY P.L.107-2015, SECTION 8, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 8. (a) The term of a direct wine seller's permit or a direct beer seller's permit begins:**

(1) **on the date approved by the commission for an initial application; and**

(2) **on July 1 to renew a permit;**

and expires on June 30 of the following year. A direct wine seller's permit or direct beer seller's permit may be renewed in accordance with rules adopted by the commission.



(b) The annual direct wine seller's permit fee is as follows:

(1) One hundred dollars (\$100) for a direct wine seller's permit applicant who:

(A) has never previously held a direct wine seller's permit and anticipates direct shipping in Indiana not more than nine thousand (9,000) liters of wine in a permit year; or

(B) previously held a direct wine seller's permit and certifies to the commission that the permit applicant direct shipped in Indiana not more than nine thousand (9,000) liters of wine in the previous permit year.

(2) Two hundred dollars (\$200) for a direct wine seller's permit applicant who:

(A) has never previously held a direct wine seller's permit and anticipates direct shipping in Indiana not more than eighteen thousand (18,000) liters of wine in a permit year; or

(B) previously held a direct wine seller's permit and certifies to the commission that the permit applicant direct shipped in Indiana not more than eighteen thousand (18,000) liters of wine in the previous permit year.

(3) Three hundred dollars (\$300) for a direct wine seller's permit applicant who:

(A) has never previously held a direct wine seller's permit and anticipates direct shipping in Indiana not more than twenty-seven thousand (27,000) liters of wine in a permit year; or

(B) previously held a direct wine seller's permit and certifies to the commission that the permit applicant direct shipped in Indiana not more than twenty-seven thousand (27,000) liters of wine in the previous permit year.

(4) Four hundred dollars (\$400) for a direct wine seller's permit applicant who:

(A) has never previously held a direct wine seller's permit and anticipates direct shipping in Indiana not more than thirty-six thousand (36,000) liters of wine in a permit year; or

(B) previously held a direct wine seller's permit and certifies to the commission that the permit applicant direct shipped in Indiana not more than thirty-six thousand (36,000) liters of wine in the previous permit year.

(5) Five hundred dollars (\$500) for a direct wine seller's permit applicant who:

(A) has never previously held a direct wine seller's permit and anticipates direct shipping in Indiana not more than forty-five



thousand (45,000) liters of wine in a permit year; or
 (B) previously held a direct wine seller's permit and certifies to the commission that the permit applicant direct shipped in Indiana not more than forty-five thousand (45,000) liters of wine in the previous permit year.

(c) The annual direct beer seller's permit fee is one hundred fifty dollars (\$150).

SECTION 23. IC 7.1-3-26-9, AS AMENDED BY P.L.107-2015, SECTION 9, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 9. A direct wine seller's permit **or direct beer seller's permit** entitles a seller to sell and ship **wine product** to a consumer by receiving and filling orders that the consumer transmits by electronic or other means if all of the following conditions are satisfied before the sale or by the times set forth as follows:

(1) The consumer provides the ~~direct wine~~ seller with the following:

- (A) The consumer's name.
- (B) A valid delivery address and telephone number.
- (C) Proof of age by a state government issued or federal government issued identification card showing the consumer to be at least twenty-one (21) years of age. The proof under this clause may be evidenced:
 - (i) in person;
 - (ii) by a photocopy or facsimile copy that is mailed or electronically transmitted;
 - (iii) by a computer scanned, electronically transmitted copy;
 - or
 - (iv) through an age verification service used by the ~~direct wine~~ seller.

(2) The ~~direct wine~~ seller meets the following requirements:

- (A) Maintains for two (2) years all records of **wine product** sales made under this chapter. If the records are requested by the commission, a ~~direct wine~~ seller shall:
 - (i) make the records available to the commission during the ~~direct wine~~ seller's regular business hours; or
 - (ii) at the direction of the commission, deliver copies to the commission.
- (B) A **direct wine seller** stamps, prints, or labels on the outside of the shipping container the following: "CONTAINS WINE. SIGNATURE OF PERSON AGE 21 OR OLDER REQUIRED FOR DELIVERY."
- (C) A **direct beer seller** stamps, prints, or labels on the



outside of the shipping container the following:
**"CONTAINS BEER. SIGNATURE OF PERSON AGE 21
 OR OLDER REQUIRED FOR DELIVERY."**

~~(C)~~ **(D)** Causes the **wine product** to be delivered by the holder
 of a valid carrier's alcoholic beverage permit under
 IC 7.1-3-18.

~~(D)~~ **(E)** Directs the carrier to verify that the individual
 personally receiving the **wine product** shipment is at least
 twenty-one (21) years of age.

~~(E)~~ **(F)** A **direct wine seller** does not ship to any consumer
 more than two hundred sixteen (216) liters of wine in any
 calendar year.

**(G) A direct beer seller does not ship to any consumer
 more than twenty-seven (27) gallons of beer in any
 calendar year.**

~~(F)~~ **(H)** Remits to the department of state revenue monthly all
 Indiana excise, sales, and use taxes on the shipments made
 into Indiana by the ~~direct wine~~ seller during the previous
 month.

~~(G)~~ **(I)** Ships to a consumer in Indiana only **wine product**
 manufactured, produced, or bottled by the applicant.

SECTION 24. IC 7.1-3-26-12, AS AMENDED BY P.L.107-2015,
 SECTION 11, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 JULY 1, 2026]: Sec. 12. **(a)** During a permit year, a direct wine seller
 may not direct ship ~~in within~~ or into Indiana more than forty-five
 thousand (45,000) liters of wine.

**(b) During a calendar year, a direct beer seller may not direct
 ship within or into Indiana more than thirty thousand (30,000)
 barrels of beer. If a direct beer seller holds a brewery permit under
 IC 7.1-3-2-7(5), all beer shipped by the direct beer seller to a
 consumer in a calendar year counts toward the seller's thirty
 thousand (30,000) barrel limit for the calendar year under
 IC 7.1-3-2-7(5)(A).**

SECTION 25. IC 7.1-3-26-13, AS ADDED BY P.L.165-2006,
 SECTION 34, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 JULY 1, 2026]: Sec. 13. A **wine product** shipment purchased under
 this chapter must be delivered to:

(1) the consumer, who shall take personal delivery of the
 shipment at the:

- (A) consumer's residence;
- (B) consumer's business address;
- (C) carrier's business address; or



- (D) address displayed on the shipping container; or
 (2) an individual who is at least twenty-one (21) years of age, who shall take personal delivery of the shipment at the:
- (A) consumer's residence;
 - (B) consumer's business address;
 - (C) carrier's business address; or
 - (D) address designated by the consumer and displayed on the shipping container.

SECTION 26. IC 7.1-3-26-14, AS ADDED BY P.L.165-2006, SECTION 34, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 14. **(a)** A consumer may not receive more than two hundred sixteen (216) liters of wine in total from one (1) or more direct wine sellers in a calendar year.

(b) A consumer may not receive more than twenty-seven (27) gallons of beer in total from one (1) or more direct beer sellers in a calendar year.

SECTION 27. IC 7.1-3-27-8, AS AMENDED BY P.L.186-2025, SECTION 285, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 8. (a) The holder of an artisan distiller's permit may do only the following:

- (1) Manufacture liquor, including blending liquor purchased from another manufacturer with liquor the artisan distiller manufactures under section 11 of this chapter.
- (2) Bottle liquor manufactured by the artisan distiller.
- (3) Insert liquor manufactured by the artisan distiller into a container.
- (4) Store liquor manufactured by the artisan distiller, including at a facility located within ten (10) miles of the artisan distiller's distillery.
- (5) Transport, sell, and deliver liquor manufactured by the artisan distiller to:
 - (A) places outside Indiana; or
 - (B) the holder of a liquor wholesaler's permit under IC 7.1-3-8.
- (6) Sell liquor manufactured by the artisan distiller to consumers by the drink, bottle, container, or case from the licensed premises of the distillery where the liquor was manufactured. Notwithstanding IC 7.1-1-3-20, the licensed premises may include the distillery parking lot or an area adjacent to the artisan distillery. The parking lot or adjacent area may only be used for the purpose of conveying alcoholic beverages and other nonalcoholic items to a customer subject to section 8.1 of this chapter and may not be used for point of sale purposes or any



1 other purpose. **Liquor manufactured by the artisan distiller**
 2 **may be delivered to a consumer's residence or office by a**
 3 **third party delivery service under IC 7.1-3-34.**

4 (7) Serve complimentary samples of the liquor manufactured by
 5 the artisan distiller to consumers on the premises of the distillery
 6 where the liquor was manufactured.

7 (8) Sell liquor as authorized by this section for carryout on
 8 Sunday in a quantity at any one (1) time of not more than four and
 9 five-tenths (4.5) liters.

10 (9) With the approval of the commission, participate:

11 (A) individually; or

12 (B) with other permit holders under this chapter, holders of
 13 farm winery permits, holders of brewer's permits issued under
 14 IC 7.1-3-2-2(b), or any combination of holders described in
 15 this clause;

16 in a trade show or an exposition at which products of each permit
 17 holder participant are displayed, promoted, and sold. All of the
 18 permit holders may occupy the same tent, structure, or building.
 19 The commission may not grant to a holder of a permit under this
 20 chapter approval under this subdivision to participate in a trade
 21 show or exposition for more than seventy-five (75) days in a
 22 calendar year.

23 (10) Be the proprietor of a restaurant that is not subject to the
 24 minimum gross food sales or the minimum projected food sales
 25 set forth in 905 IAC 1-41-2 and the gross retail income
 26 requirements to sell carryout under IC 7.1-3-20-9.5. A holder is
 27 entitled to conduct the following activities:

28 (A) Hold a beer retailer's permit, a wine retailer's permit, or a
 29 liquor retailer's permit for a restaurant.

30 (B) Transfer liquor directly from the artisan distillery to a
 31 restaurant that the artisan distiller has an interest in by means
 32 of:

33 (i) bottles;

34 (ii) bulk containers; or

35 (iii) a continuous flow system.

36 (C) Install a window between the artisan distillery and an
 37 adjacent restaurant that allows the public and the holder of the
 38 permit to view both premises.

39 (D) Install a doorway or other opening between the artisan
 40 distillery and an adjacent restaurant that provides the public
 41 and the holder of the permit with access to both the artisan
 42 distillery and restaurant.



(11) A holder that does not distribute through an Indiana liquor wholesaler is entitled under the artisan distiller's permit to sell and deliver to a person holding a liquor retailer or liquor dealer permit under this title a total of not more than two thousand (2,000) gallons of the artisan distillery's liquor in a calendar year, if the artisan distiller has not sold in Indiana more than ten thousand (10,000) gallons the previous calendar year. A holder that sells and delivers under this subdivision shall comply with all provisions applicable to a wholesaler in 905 IAC 1-5.1, 905 IAC 1-5.2, 905 IAC 1-21, 905 IAC 1-31, and 905 IAC 1-32.1.

(12) Sell, donate, transport, and deliver liquor manufactured by the artisan distiller to a qualified organization for:

(A) an allowable event under IC 7.1-3-6.1;

(B) a charity auction under IC 7.1-3-6.2; or

(C) an event under IC 7.1-3-6.3.

(13) With the approval of the commission under subdivision (9), the holder of a permit may participate in a farmers' market at which products of the permit holder are displayed, promoted, and sold. The holder of a permit:

(A) may not offer samples of liquor for consumption on the premises; and

(B) may sell its liquor in qualified containers for consumption off the premises.

(14) Manufacture liquor at the licensed premises for another holder of an artisan distiller's permit. Upon completion of the manufacturing of the liquor for another permit holder under this subdivision, the product must be transported to the permit holder for which the liquor was manufactured. To qualify under this subdivision:

(A) the permit holder for which the liquor is manufactured must have manufactured not less than forty (40) gallons of liquor produced from raw materials at the permit holder's licensed premises in the previous calendar year; and

(B) the total number of gallons of liquor that a permit holder manufactures under this subdivision may not exceed the number of gallons of liquor the permit holder produced from raw materials at the permit holder's licensed premises in the same calendar year.

All records required by the federal Alcohol and Tobacco Tax and Trade Bureau regarding the number of gallons of liquor produced from raw materials at the licensed premises of a permit holder must be available to the commission upon request. The activity



under this subdivision is not an interest under IC 7.1-5-9.

(b) The holder of an artisan distiller's permit who provides samples or sells liquor by the glass must furnish the minimum food requirements prescribed by the commission.

(c) A storage facility used by an artisan distiller under subsection (a)(4) must conform with federal laws, rules, and regulations. An artisan distiller may transfer liquor from a separate storage facility back to the artisan distillery. An artisan distiller may sell or transfer liquor directly to a liquor wholesaler from a storage facility that is separate from the artisan distillery. An artisan distiller may not sell or transfer liquor from a storage facility to any other permittee or a consumer. The artisan distiller shall maintain an adequate written record of the liquor transferred:

(1) between the artisan distillery and the storage facility; and

(2) from the storage facility to the liquor wholesaler.

(d) The holder of an artisan distiller's permit may transport liquor to and from a brewery located within the same county for the purposes of carbonating and canning by the brewery. The activity under this subsection is not an interest under IC 7.1-5-9.

(e) An artisan distiller who knowingly or intentionally violates this section commits a Class B misdemeanor.

SECTION 28. IC 7.1-3-33 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]:

Chapter 33. Delivery Driver Permit

Sec. 1. The commission may issue a delivery driver permit to an individual who wants to deliver alcoholic beverages to customers as an employee or independent contractor of a third party delivery service under IC 7.1-3-34.

Sec. 2. To be eligible for or to continue to hold a delivery driver permit, an individual must:

(1) be at least twenty-one (21) years of age;

(2) have a valid driver's license and adequate vehicle coverage;

(3) not be a common carrier;

(4) not hold any permit under this title to manufacture, sell, or wholesale alcoholic beverages;

(5) successfully complete a training program under IC 7.1-3-34-19 or IC 7.1-3-34-20;

(6) pay the permit fee under IC 7.1-4-4.1-24;

(7) not have a conviction within the preceding five (5) years:

(A) for operating while intoxicated;



(B) under IC 7.1-5-7-8 (furnishing alcohol to a minor); or

(C) under IC 7.1-5-7-2 (furnishing a minor with false identification); and

(8) satisfy any other requirements of the commission.

Sec. 3. The following provisions regarding the issuance and revocation of an employee's permit also apply to the issuance and revocation of a delivery driver permit:

(1) IC 7.1-3-18-9(f) through IC 7.1-3-18-9(i).

(2) IC 7.1-3-18-9.5.

Sec. 4. The holder of a delivery driver permit, regardless of whether the holder is an employee or independent contractor of a third party delivery service, may only make alcoholic beverage deliveries if the holder has entered into a written agreement with the third party delivery service.

SECTION 29. IC 7.1-3-34 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]:

Chapter 34. Third Party Delivery Service Permit

Sec. 1. As used in this chapter, "delivery driver" means a person who transports alcoholic beverages for a permittee.

Sec. 2. As used in this chapter, "delivery order" means alcoholic beverages that are purchased from a seller for delivery to the purchaser's residence or office.

Sec. 3. As used in this chapter, "permit" means a third party delivery service permit issued under this chapter.

Sec. 4. As used in this chapter, "permittee" means a person that holds a third party delivery service permit.

Sec. 5. As used in this chapter, "seller" means the holder of a:

(1) retailer's permit;

(2) dealer's permit; or

(3) craft manufacturer's permit.

Sec. 6. A permittee may transport a delivery order for a seller, if:

(1) the delivery order is transported from a location inside the seller's licensed premises in Indiana to a customer's home or office located within Indiana;

(2) the permittee has a written agreement with the seller to make alcoholic beverage deliveries using the permittee's delivery drivers;

(3) the permittee's delivery drivers:

(A) hold delivery driver permits under IC 7.1-3-33; and

(B) are employees of or have contracted with the



- 1 permittee;
- 2 (4) the permittee provides the commission with the:
- 3 (A) name;
- 4 (B) address; and
- 5 (C) delivery driver permit number;
- 6 of each of the permittee's delivery drivers; and
- 7 (5) the other requirements of this chapter are satisfied.
- 8 **Sec. 7. A permittee must meet all of the following requirements:**
- 9 (1) If the permittee is an individual, the person:
- 10 (A) is at least twenty-one (21) years of age; and
- 11 (B) has not been convicted of a felony set forth in
- 12 IC 7.1-3-4-2(3).
- 13 (2) The permittee has a physical address in Indiana and is
- 14 authorized to do business in Indiana.
- 15 (3) The permittee may not hold any other permit under
- 16 IC 7.1.
- 17 (4) The permittee may not be a common carrier.
- 18 (5) The permittee may not be disqualified under IC 7.1-3-4-2.
- 19 **Sec. 8. An applicant must submit all of the following to the**
- 20 **commission with a permit application:**
- 21 (1) A sample written agreement described in section 6(2) of
- 22 this chapter that:
- 23 (A) meets the requirements of this chapter; and
- 24 (B) the applicant intends to enter into with sellers.
- 25 (2) An outline or summary of an internal or external training
- 26 program for training the applicant's delivery drivers as
- 27 described in sections 19 and 20 of this chapter.
- 28 (3) Proof of a general liability insurance policy with coverage
- 29 of at least five hundred thousand dollars (\$500,000) per
- 30 occurrence.
- 31 (4) Any other documentation or information required by the
- 32 commission.
- 33 **Sec. 9. A delivery driver:**
- 34 (1) must:
- 35 (A) be an employee or independent contractor of the
- 36 permittee;
- 37 (B) be at least twenty-one (21) years of age;
- 38 (C) have a valid driver's license; and
- 39 (D) have a valid delivery driver's permit under
- 40 IC 7.1-3-33; and
- 41 (2) must be certified as having completed a training program
- 42 established or approved by the commission under section 19



or 20 of this chapter.

Sec. 10. The commission may enforce the requirements of this chapter against any employee or independent contractor of a permittee.

Sec. 11. A delivery order must meet all of the following requirements:

(1) A delivery order must be sold to the purchaser by the seller who collects payment when the delivery order is placed. If the permittee charges the purchaser a delivery fee as provided in section 12 of this chapter, the delivery fee must be collected at checkout and before delivery of the delivery order.

(2) Alcoholic beverages must be:

(A) in:

(i) sealed original containers, if the seller has a dealer's permit or a craft manufacturer's permit; or

(ii) qualified containers, if the seller has a retailer's permit;

(B) placed:

(i) in a bag by the seller that is stamped, printed, or labeled on the outside: "CONTAINS ALCOHOLIC BEVERAGES"; and

(ii) in the trunk of the vehicle or if the alcoholic beverage is in a qualified container, behind the last upright seat of the motor vehicle.

(C) picked up by the permittee's delivery driver from a location:

(i) inside the licensed premises of the seller; and

(ii) that is not outside in the seller's parking lot or an area adjacent to the seller; and

(D) delivered from the seller's licensed premises during regular business hours to the customer's residence or office.

However, alcoholic beverages may not be delivered to an address on the campus of a public or private college or university (as defined in IC 21-7-13-10).

(3) If the delivery order is from a retailer permittee, the delivery order must include a meal purchased by the customer from the retailer permittee that is conveyed to the customer at the same time as the alcoholic beverages.

(4) The seller must obtain confirmation that the purchaser placing a delivery order is at least twenty-one (21) years of



age.

(5) A delivery order must be received by a person at the delivery address who is at least twenty-one (21) years of age. A delivery order may not be left unattended at the delivery address.

(6) A delivery driver must obtain the delivery order recipient's:

(A) proof of age in accordance with IC 7.1-5-10-23 using identification scanning software technology at the point of delivery to authenticate that the recipient is at least twenty-one (21) years of age; and

(B) signature.

(7) A delivery driver shall return all alcoholic beverages to the seller, if the person receiving the delivery order:

(A) is less than twenty-one (21) years of age;

(B) appears intoxicated;

(C) fails or refuses to:

(i) provide proof of age in accordance with IC 7.1-5-10-23;

(ii) provide a signature; or

(iii) complete the identification verification process; or

(D) refuses to accept the delivery.

Sec. 12. A permittee may charge a delivery fee to the purchaser or the seller. The permittee does not engage in the sale of alcoholic beverages by charging a delivery fee. The seller shall appear as the merchant of record in the sales transaction.

Sec. 13. The commission may enforce the requirements of this chapter by the same administrative proceedings that apply to all other holders of an alcoholic beverage permit.

Sec. 14. Nothing in this section shall be construed to require a technology services company to obtain a permit under this chapter, if the technology services company:

(1) does not employ or contract with delivery drivers; and

(2) only provides software or a digital network application that connects purchasers with sellers for placing delivery orders.

Sec. 15. (a) The term of a permit begins on:

(1) the date approved by the commission for an initial application; and

(2) July 1 to renew a permit;

and expires on June 30 of the second year following the year in which the application was initially approved under subdivision (1)



1 or the permit was renewed under subdivision (2).

2 (b) A permit may be renewed in accordance with rules adopted
3 by the commission.

4 Sec. 16. A permittee shall maintain records containing the
5 following information for twenty-four (24) months after the date
6 of a delivery of alcoholic beverages:

7 (1) The name and address of the seller.

8 (2) The delivery date.

9 (3) The customer's name and address.

10 (4) The customer's proof of age verification and the delivery
11 recipient's proof of age verification.

12 (5) Each delivery driver's name, address, and delivery driver
13 permit number.

14 The third party delivery service shall make these records available
15 to the commission upon request.

16 Sec. 17. A permittee shall allow the commission to perform an
17 audit of the permittee's records upon request and with sufficient
18 notification.

19 Sec. 18. A permittee shall be considered to have consented to the
20 jurisdiction of the Indiana courts concerning enforcement of this
21 chapter and any related laws or rules.

22 Sec. 19. The commission shall approve a training program
23 established by a permittee or third party provider that:

24 (1) educates individuals on the delivery of alcoholic beverages,
25 including training in:

26 (A) identifying:

27 (i) an underage person;

28 (ii) an intoxicated person; and

29 (iii) a false or altered photographic identification card;
30 and

31 (B) handling situations in which the delivery driver is
32 required by law to decline to deliver the alcoholic
33 beverages and return the delivery order to the seller; and

34 (2) certifies when an individual successfully completes the
35 training program.

36 Sec. 20. In addition to approving training programs, the
37 commission may establish a training program and provide
38 certification of delivery drivers.

39 Sec. 21. A permittee must ensure that each delivery driver is
40 certified as completing a training program that is approved or
41 established by the commission before the delivery driver makes
42 deliveries of alcoholic beverages. The permittee must maintain



copies of each delivery driver's training certification.

Sec. 22. The commission may:

- (1) suspend or revoke a delivery service permit or delivery driver permit, or both; and
- (2) impose civil penalties against the holder of a permit under IC 7.1-3-23.

for any delivery of alcoholic beverages that is made by the delivery driver for the delivery service permit holder in violation of IC 7.1, regardless of whether the delivery driver is an employee or independent contractor of the permittee.

Sec. 23. Nothing in this chapter affects the direct sale and shipment of wine or beer under IC 7.1-3-26.

SECTION 30. IC 7.1-4-4.1-12, AS AMENDED BY P.L.285-2019, SECTION 53, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 12. (a) This section applies to the following biennial permits:

- (1) Beer dealer's permit.
- (2) Liquor dealer's permit.
- (3) Wine dealer's permit.

This section does not apply to a beer or wine dealer's permit under section 12.5 of this chapter.

(b) The commission shall charge a single fee for the issuance of any combination of dealers' permits issued for the same location. The fee is equal to the sum of the amount determined under subsection (c).

(c) An annual permit fee in the following amount is imposed on a dealer:

- (1) Five hundred dollars (\$500), if the dealer sells only beer, only liquor, or only wine.
- (2) Seven hundred fifty dollars (\$750), if the dealer sells:
 - (A) both beer and wine but no liquor;
 - (B) both wine and liquor but no beer; or
 - (C) both beer and liquor but no wine.
- (3) One thousand dollars (\$1,000), if the dealer sells beer, wine, and liquor.

SECTION 31. IC 7.1-4-4.1-12.5 IS ADDED TO THE INDIANA CODE AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 12.5. (a) This section applies to a beer dealer's or wine dealer's permit under IC 7.1-3-22.5.**

(b) The initial permit fee is fifty thousand dollars (\$50,000).

(c) The annual permit renewal fee is two thousand five hundred dollars (\$2,500).

(d) The commission shall deposit all fees collected under this



1 **section into the enforcement and administration fund established**
 2 **under IC 7.1-4-10.**

3 SECTION 32. IC 7.1-4-4.1-22 IS ADDED TO THE INDIANA
 4 CODE AS A **NEW** SECTION TO READ AS FOLLOWS
 5 [EFFECTIVE JULY 1, 2026]: **Sec. 22. The annual direct beer seller's**
 6 **permit fee is one hundred fifty dollars (\$150).**

7 SECTION 33. IC 7.1-4-4.1-23 IS ADDED TO THE INDIANA
 8 CODE AS A **NEW** SECTION TO READ AS FOLLOWS
 9 [EFFECTIVE JULY 1, 2026]: **Sec. 23. (a) The term of a delivery**
 10 **service permit under IC 7.1-3-34 is two (2) years.**

11 **(b) The initial permit fee is fifty thousand dollars (\$50,000).**

12 **(c) The biennial renewal fee is five thousand dollars (\$5,000).**

13 **(d) The commission shall deposit all fees collected under this**
 14 **section into the enforcement and administration fund established**
 15 **under IC 7.1-4-10.**

16 SECTION 34. IC 7.1-4-4.1-24 IS ADDED TO THE INDIANA
 17 CODE AS A **NEW** SECTION TO READ AS FOLLOWS
 18 [EFFECTIVE JULY 1, 2026]: **Sec. 24. (a) The fee for a delivery**
 19 **driver permit is one hundred dollars (\$100). The term of a delivery**
 20 **driver permit is three (3) years.**

21 **(b) The commission shall deposit all fees collected under this**
 22 **section into the enforcement and administration fund established**
 23 **under IC 7.1-4-10.**

24 SECTION 35. IC 7.1-4-6-1, AS AMENDED BY P.L.165-2006,
 25 SECTION 36, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 26 JULY 1, 2026]: Sec. 1. The chairman and the department shall have the
 27 power to examine the books, papers, records, and premises of a
 28 manufacturer, wholesaler, retailer, dealer, ~~or~~ direct wine seller's permit
 29 holder, **or direct beer seller's permit holder** under this title for the
 30 purpose of determining whether the excise taxes imposed by this title
 31 have been paid fully and whether the provisions of the title are being
 32 complied with.

33 SECTION 36. IC 7.1-4-7-1, AS AMENDED BY P.L.109-2013,
 34 SECTION 8, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 35 JULY 1, 2026]: Sec. 1. The chairman shall collect the required annual
 36 license fee paid in connection with the issuance of a brewer's permit,
 37 a beer wholesaler's permit, a temporary beer permit, a dining car permit
 38 of any type, a boat permit of any type, an artisan distiller's permit, a
 39 distiller's permit, a rectifier's permit, a liquor wholesaler's permit, a
 40 vintner's permit, a farm winery permit, a farm winery brandy distiller's
 41 permit, a wine wholesaler's permit, a wine bottler's permit, a temporary
 42 wine permit, a direct wine seller's permit, **a direct beer seller's**



1 **permit**, a salesman's permit, and a carrier's alcoholic permit.

2 SECTION 37. IC 7.1-5-5-7, AS AMENDED BY P.L.159-2014,
3 SECTION 37, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
4 JULY 1, 2026]: Sec. 7. (a) It is unlawful for a permittee in a sale or
5 contract to sell alcoholic beverages to discriminate between purchasers
6 by granting a price, discount, allowance, or service charge which is not
7 available to all purchasers at the same time. However, this section does
8 not authorize or require a permittee to sell to a person to whom the
9 permittee is not authorized to sell under this title.

10 (b) A premises that operates at least two (2) restaurants that are
11 separate and distinct from each other on the same premises may
12 provide for a different schedule of prices in each restaurant if each
13 restaurant conforms to all other laws and rules of the commission
14 regarding pricing and price discrimination in its separate and distinct
15 areas.

16 (c) This section does not apply to the holder of a gaming site permit
17 that complies with IC 7.1-3-17.5-6.

18 (d) Notwithstanding subsection (a), a beer wholesaler may offer a
19 special discount price to a beer dealer or beer retailer for beer or
20 flavored malt beverage, if the beer or flavored malt beverage:

- 21 (1) is a brand or package the beer wholesaler has discontinued; or
- 22 (2) will expire in not more than:
 - 23 (A) twenty (20) days for packaged beer or packaged flavored
 - 24 malt beverage; and
 - 25 (B) ten (10) days for draft beer or draft flavored malt beverage.

26 (e) The special discount under subsection (d) only applies to beer or
27 flavored malt beverage that will expire and be subject to removal from
28 retailer or dealer shelves in accordance with the primary source of
29 supply's coding data clearly identified on the container.

30 (f) Any beer or flavored malt beverage sold at a special discount
31 price under subsection (d) shall be accompanied by an invoice clearly
32 designating, in addition to all other information required by law, all the
33 following information:

- 34 (1) The date of delivery.
- 35 (2) The expiration date of each brand, package type, and quantity
- 36 delivered.
- 37 (3) The per unit price for each package.

38 **(g) Notwithstanding subsection (a), a wine wholesaler may offer**
39 **a channel price (as defined in IC 7.1-1-3-9.3) to a retailer if the**
40 **following conditions are met:**

- 41 **(1) The channel price and product name must be clearly and**
42 **separately noted on the invoice for the sale of the channel**



1 **priced product.**

2 **(2) A retailer may only offer a channel priced product for**
 3 **consumption on the licensed premises.**

4 **(3) Channel priced products must be listed on the wine**
 5 **wholesaler's price sheet and offered in a nondiscriminatory**
 6 **manner to all retailers.**

7 **(4) A wine wholesaler must annually submit to the**
 8 **commission, by January 1, a list of all products sold for a**
 9 **channel price during the previous twelve (12) month period.**

10 **This list must contain the following:**

11 **(A) The name of the channel priced product.**

12 **(B) The price for which the channel priced product was**
 13 **sold.**

14 **(C) The price for which the same product, in the same**
 15 **quantity, would have been sold without a channel price.**

16 **(5) A wine wholesaler may not offer a channel price to a**
 17 **retailer that participates in a group purchasing agreement**
 18 **under IC 7.1-2-3-32.**

19 **(h) Nothing in this section may be construed to prohibit a seller**
 20 **from operating a rewards program under section 14 of this**
 21 **chapter.**

22 ~~(g)~~ **(i) A person who knowingly or intentionally violates this section**
 23 **commits a Class B misdemeanor.**

24 **SECTION 38. IC 7.1-5-5-14 IS ADDED TO THE INDIANA CODE**
 25 **AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY**
 26 **1, 2026]: Sec. 14. (a) As used in this section, "rewards program"**
 27 **means a program used by a retailer to encourage participants to**
 28 **continue to patronize the retailer's business by allowing**
 29 **participants to do the following:**

30 **(1) Accrue program benefits in the form of points that are**
 31 **rewarded to a participant for purchases of food or alcoholic**
 32 **beverages.**

33 **(2) Redeem accrued points in the form of a discount upon**
 34 **subsequent purchases of alcoholic beverages, food, or both**
 35 **food and alcoholic beverages.**

36 **(b) A retailer that operates a rewards program may:**

37 **(1) offer benefits or rewards to participants of the rewards**
 38 **program that are not offered to other consumers; and**

39 **(2) require a participant in a rewards program to pay an**
 40 **annual fee and renewal fee to join or continue to participate**
 41 **in the rewards program.**

42 **(c) A rewards program must be structured so that the accrual**



1 **and redemption of benefits is applied without discrimination across**
 2 **all brands and labels of alcoholic beverages. However, rewards**
 3 **program benefits may differentiate between beer, wine, and liquor**
 4 **(classes of alcoholic beverages) in accrual and redemption rate.**

5 **(d) A rewards program may not discount the price of an**
 6 **alcoholic beverage below the cost to the retailer.**

7 SECTION 39. IC 7.1-5-10-12, AS AMENDED BY P.L.164-2025,
 8 SECTION 15, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 9 JULY 1, 2026]: Sec. 12. (a) Except as provided in subsections (b)
 10 through ~~(d)~~ **(e)** and ~~subsection (g); subsections (h) and (i),~~ it is
 11 unlawful for a permittee to sell, offer to sell, purchase or receive, an
 12 alcoholic beverage for anything other than cash. A permittee who
 13 extends credit in violation of this section shall have no right of action
 14 on the claim.

15 (b) A permittee may credit to a purchaser the actual price charged
 16 for a package or an original container returned by the original
 17 purchaser as a credit on a sale and refund to a purchaser the amount
 18 paid by the purchaser for a container, or as a deposit on a container, if
 19 it is returned to the permittee.

20 (c) A manufacturer may extend usual and customary credit for
 21 alcoholic beverages sold to a customer who maintains a place of
 22 business outside this state when the alcoholic beverages are actually
 23 shipped to a point outside this state.

24 (d) An artisan distiller, a distiller, a farm winery, or a liquor or wine
 25 wholesaler may extend credit on liquor, flavored malt beverages, and
 26 wine sold to a permittee for a period of fifteen (15) days from the date
 27 of invoice, date of invoice included. However, if the fifteen (15) day
 28 period passes without payment in full, the:

29 (1) wholesaler;

30 (2) farm winery that sells and delivers under IC 7.1-3-12-5(a)(13);
 31 or

32 (3) artisan distillery that sells and delivers under
 33 IC 7.1-3-27-8(a)(11);

34 shall sell to that permittee on a cash on delivery basis only.

35 **(e) A beer wholesaler may extend credit to a retailer or catering**
 36 **hall.**

37 ~~(e)~~ **(f)** A person who knowingly or intentionally violates this section
 38 commits a Class B misdemeanor.

39 ~~(f)~~ **(g)** Nothing in this section may be construed to prohibit a hotel,
 40 restaurant, caterer, or a club that is not open to the general public from
 41 extending credit to a consumer purchasing alcohol for personal use at
 42 any time.



1 ~~(g)~~ **(h)** Nothing in this section may be construed to prohibit a retailer
 2 or dealer from accepting a:

- 3 (1) credit card;
 4 (2) debit card;
 5 (3) charge card; or
 6 (4) stored value card;

7 from a consumer purchasing alcohol for personal use.

8 **(i) Nothing in this section may be construed to prohibit a**
 9 **retailer from operating a rewards program under IC 7.1-5-5-14.**

10 SECTION 40. IC 7.1-5-10-20, AS AMENDED BY P.L.163-2025,
 11 SECTION 52, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 12 JULY 1, 2026]: Sec. 20. (a) It is unlawful for a holder of a retailer's
 13 permit to do any of the following:

14 (1) Furnish two (2) or more servings of an alcoholic beverage
 15 upon the placing of an order for one (1) serving to one (1) person
 16 for that person's personal consumption.

17 (2) Charge a single price for the required purchase of two (2) or
 18 more servings of an alcoholic beverage.

19 (3) Except as expressly authorized under IC 7.1-3-6.1 or
 20 IC 7.1-3-6.2, conduct, sponsor, or participate in or allow a person
 21 on the licensed premises to conduct, sponsor, or participate in any
 22 game or contest on the licensed premises that:

23 (A) is determined by the quantity of alcoholic beverages
 24 consumed by an individual or individuals; or

25 (B) awards alcoholic beverages or reduced price alcoholic
 26 beverages as prizes for the game or contest.

27 (4) Sell or serve an unlimited or indefinite amount of alcoholic
 28 beverages for a fixed price or charge individual patrons an entry
 29 or cover fee to allow access to unlimited quantities of alcoholic
 30 beverages. Nothing in this subdivision prevents a retail permit
 31 holder from offering event packages in which the permit holder
 32 sells and invoices an open ended quantity of alcoholic beverages
 33 at an established price to the individuals responsible for the event.

34 (b) Subsection (a) applies to private clubs but does not apply to
 35 private functions that are not open to the public.

36 **(c) Nothing in this section may be construed to prohibit a**
 37 **retailer from operating a rewards program under IC 7.1-5-5-14.**

38 ~~(e)~~ **(d)** A person who knowingly or intentionally violates this section
 39 commits a Class B misdemeanor.

40 SECTION 41. IC 24-4-22-3.5 IS ADDED TO THE INDIANA
 41 CODE AS A NEW SECTION READ AS FOLLOWS [EFFECTIVE
 42 JULY 1, 2026]: Sec. 3.5. (a) After June 30, 2026, a person may not



1 distribute, sell, or offer for sale low THC hemp extract at retail or
 2 online to a person who is less than twenty-one (21) years of age.

3 (b) Any website owned, managed, or operated by a person who
 4 distributes or sells a low THC hemp extract directly to consumers
 5 must verify a consumer's age before completing a purchase by:

- 6 (1) using a reliable online age verification service; or
 7 (2) obtaining and examining a copy of a government issued
 8 identification.

9 (c) A person who violates this section is subject to the following:

10 (1) Notwithstanding IC 34-28-5-4, a person who:

11 (A) violates this section; and

12 (B) does not have a prior unrelated judgment for a
 13 violation of this section;

14 commits a Class C infraction and is subject to a civil penalty
 15 of not more than one thousand dollars (\$1,000).

16 (2) A person who has only one (1) prior unrelated judgment
 17 for a violation of this section commits a Class B infraction. If
 18 the person's violation:

19 (A) occurs more than two (2) years after the preceding
 20 violation, the person is liable for the penalty set forth in
 21 IC 34-28-5-4; or

22 (B) occurs not more than two (2) years after the preceding
 23 violation:

24 (i) the person is liable for a civil penalty of not more than
 25 five thousand dollars (\$5,000); and

26 (ii) the person's retail merchant's certificate issued under
 27 IC 6-2.5-8 shall be suspended for a period of not more
 28 than six (6) months.

29 (3) A person who has at least two (2) prior unrelated
 30 judgments for a violation of this section commits a Class A
 31 infraction. If the person's violation:

32 (A) occurs more than two (2) years after the immediately
 33 preceding violation, the person is liable for the penalty set
 34 forth in IC 34-28-5-4; or

35 (B) occurs not more than two (2) years after the
 36 immediately preceding violation:

37 (i) the person is liable for a civil penalty of ten thousand
 38 dollars (\$10,000);

39 (ii) the person's retail merchant certificate under
 40 IC 6-2.5-8 shall be revoked; and

41 (iii) the person shall be subject to a one (1) year waiting
 42 period to reapply for a retail merchant's certificate



under IC 6-2.5-8.

(d) It is a defense to a violation under this section that the distributor or seller examined the purchaser's or recipient's driver's license, or other valid government issued identification, that positively identified the purchaser or recipient as being at least twenty-one (21) years of age.

SECTION 42. IC 35-46-1-23 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 23. (a)** This section applies to a holder of a delivery service permit under IC 7.1-3-34 who makes a delivery:

(1) using a delivery driver; and

(2) that violates:

(A) IC 7.1-5-7-8 (furnishing alcoholic beverage to a minor);

(B) IC 7.1-5-10-15 (delivering to an intoxicated person); or

(C) IC 7.1-5-10-23 (failing to verify age).

(b) In addition to any other penalty, a civil judgment may be imposed against the holder of the delivery service permit for whom the delivery driver made the delivery as follows:

(1) If the permit holder has not been issued a citation or summons for a violation under subsection (a) in the previous one hundred eighty (180) days, a civil penalty of up to two hundred dollars (\$200).

(2) If the permit holder has had one (1) citation or summons for a violation under subsection (a) in the previous one hundred eighty (180) days, a civil penalty of up to four hundred dollars (\$400).

(3) If the permit holder has had two (2) citations or summonses for a violation of subsection (a) in the previous one hundred eighty (180) days, a civil penalty of up to seven hundred dollars (\$700).

(4) If the permit holder has had three (3) or more citations or summonses for a violation under subsection (a) in the previous one hundred eighty (180) days, a civil penalty of up to one thousand dollars (\$1,000).

(c) The defenses set forth in IC 7.1-5-7-5.1 are available to a permit holder in an action under this section for a violation of IC 7.1-5-7-8.

(d) Unless a person less than twenty-one (21) years of age buys or receives an alcoholic beverage under the direction of a law enforcement officer as part of an enforcement action, the permit holder is not liable under subsection (a)(1) or (a)(3) unless the



1 person less than twenty-one (21) years of age who bought or
2 received the alcoholic beverage is charged for violating
3 IC 7.1-5-7-7.

4 (e) All civil penalties collected under this section shall be
5 deposited in the alcohol and tobacco commission's enforcement
6 and administration fund under IC 7.1-4-10.

7 SECTION 43. IC 35-52-7-2, AS ADDED BY P.L.169-2014,
8 SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
9 JULY 1, 2026]: Sec. 2. IC 7.1-3-26-5 defines a crime concerning direct
10 wine seller's permits **or direct beer seller's permits.**

11 SECTION 44. IC 35-52-7-3, AS ADDED BY P.L.169-2014,
12 SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
13 JULY 1, 2026]: Sec. 3. IC 7.1-3-26-6 defines a crime concerning direct
14 wine seller's permits **or direct beer seller's permits.**

